



VikingCloud's 2026 SMB Threat Landscape Report

The Year Cybersecurity Risks
Surpass Economic Concerns



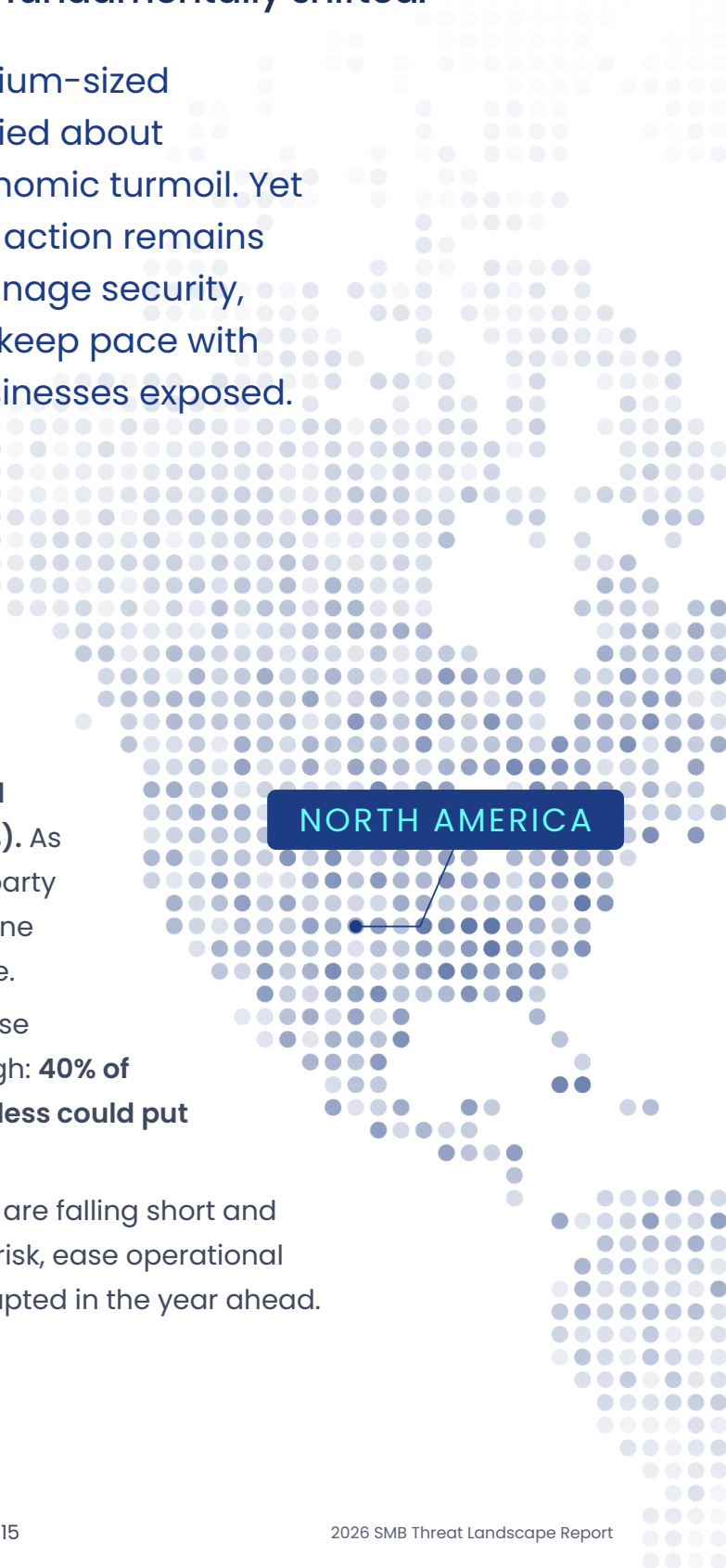
Executive Summary

The cybersecurity battlefield has fundamentally shifted.

For the first time, small- and medium-sized businesses (SMBs) are more worried about surviving a cyberattack than economic turmoil. Yet the gap between awareness and action remains wide: leaders continue to self-manage security, delay investments, or struggle to keep pace with evolving threats, leaving their businesses exposed.

According to VikingCloud's survey of SMB business owners and cyber leaders across North America, **cybersecurity ranks as the #1 area most likely to negatively impact operations this year, surpassing inflation and rising costs (54%), recession and reduced consumer spending (25%), and workforce retention or hiring shortages (25%).** As AI-driven attacks explode, reliance on third-party vendors grows, and SMBs' lack of cyber hygiene persists, cybercriminals are taking advantage. In today's threat landscape, traditional defense strategies can't keep pace. The stakes are high: **40% of SMBs say a cyberattack costing \$100,000 or less could put them out of business.**

This report examines where current defenses are falling short and what must change for SMBs to reduce cyber risk, ease operational strain, and keep businesses running uninterrupted in the year ahead.

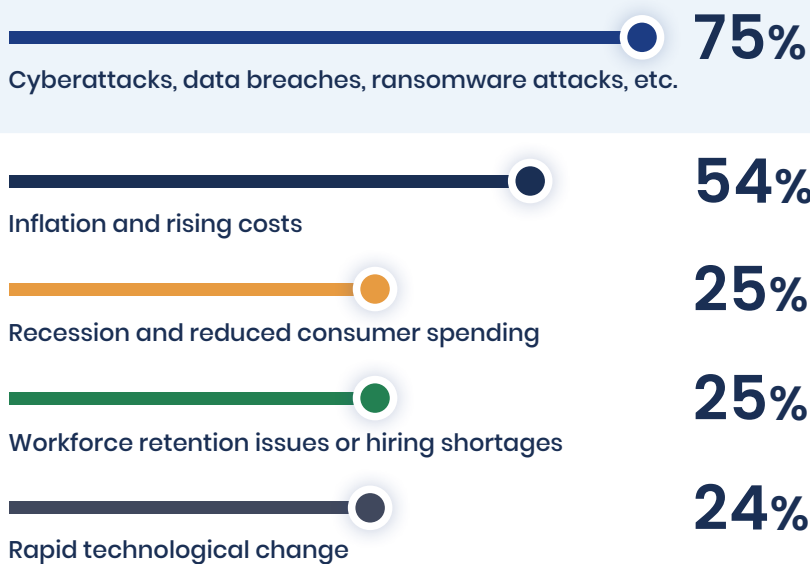


NORTH AMERICA

The Risk Reordering: Cybersecurity Overtakes the Economy

Economic forces traditionally determine how SMBs assess risk. There is no shortage of threats: tariffs, geopolitical tension, rising unemployment, shifts in consumer demand, and more. Yet in 2026, the ranking of SMB risks has fundamentally shifted.

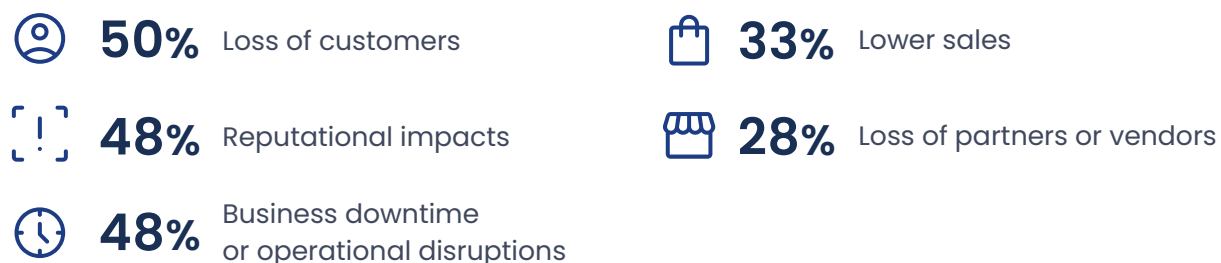
The Top Five Threats Most Likely to Negatively Impact SMB Operations in 2026:



This shift reflects a new fundamental reality: cybersecurity risk has become financial risk—capable of triggering customer loss, operational disruption, and revenue impact in a single incident. While economic pressures tend to erode margins gradually, cyber incidents strike suddenly and cascade quickly.

For many SMBs, even a single cyber incident now exceeds their financial tolerance for survival.

Most Likely Outcomes Following a Successful Cyberattack:





For **40%**
of SMBs, a financial impact of
\$100,000
or less from a cyberattack
could be enough to force them
out of business.

Cyber incidents are no longer rare, isolated events for SMBs; they are increasingly routine operational disruptions. In the past 12 months alone, nearly three-quarters of respondents reported Wi-Fi or network disruptions (73%), while more than half experienced website downtime (58%) or third-party/vendor outages (55%). Point-of-sale (POS) software downtime (51%) and mobile application downtime (43%) were also common, directly impacting daily operations, customer experience, and revenue continuity.

More concerning, these operational issues exist alongside a growing prevalence of high impact cyberattacks capable of causing lasting financial and reputational damage. More than a quarter of SMBs say they've experienced a deepfake scheme (29%), customer data breach (27%), ransomware attack (26%), or denial of service attack (26%). Another 25% say their credentials have been leaked on the dark web, citing it as one of the main reasons they could fall victim to a cyberattack.



When Cybersecurity Becomes Personal: The Human Cost of Security

Cybersecurity is now the #1 SMB risk, but who's responsible for managing it hasn't changed; it still falls on already overextended business owners and cyber leaders.

In fact, 84% of business owners say they self-manage their cybersecurity, and more than half (54%) of SMBs with a dedicated cyber expert—including IT directors, CISOs, or cybersecurity directors—report managing the program by themselves.

Alarmingly, more than a quarter of respondents (28%) admit the person managing their cybersecurity doesn't have sufficient training, and more often than not, it's the respondents themselves. This concentration of responsibility carries a human cost. Without external support, SMB business owners or cyber leaders are forced to make constant tradeoffs between security and growth, or vigilance and burnout. 66% of business owners frequently work late or on weekends to handle security updates and alerts. 57% say they've delayed or missed investing in new growth opportunities (like hiring or technology) out of concern that change could increase security risk.

56% of cyber leaders constantly worry that one mistake will lead to a ruinous breach. 53% say their responsibilities have made their workload too intense, impacting their well-being.

This strain explains why exposure persists even as concerns rise. Burned-out leaders are more likely to make reactive, checkbox-driven security decisions focused on keeping systems running and meeting minimum compliance requirements rather than reducing real business exposure. Over time, this dynamic leaves SMBs stuck in a cycle of heightened awareness but limited progress.

SMB Business Owners:

66%

frequently work late or on weekends to handle security updates and alerts.

57%

have delayed or missed investing in new growth opportunities (like hiring or tech) out of concern that change could increase security risk.

SMB Cyber Leaders:

56%

constantly worry that one mistake will lead to a ruinous breach.

53%

say their responsibilities have made their workload too intense, impacting their well-being.

Four Exposure Points SMBs Can't Ignore in 2026

The growing pressure on SMBs is driven by four exposure points where risk is compounding faster than teams can respond.

01 AI Continues to Outpace Human Defenses

AI-powered cyberattacks are leading to defense exhaustion, leadership burnout, and missed risks as human defenses fail to keep pace.

How AI-Powered Cyberattacks are Putting SMBs at Risk in 2026:

42%

AI cyberattack speed makes traditional human-driven patching and response times effectively obsolete.

35%

AI creates malware that can automatically rewrite its own code or change its execution pattern in real-time, allowing it to evade traditional antivirus software.

28%

The sophistication of hyper-personalized social engineering scams overwhelms basic employee training and intuitive human defense.

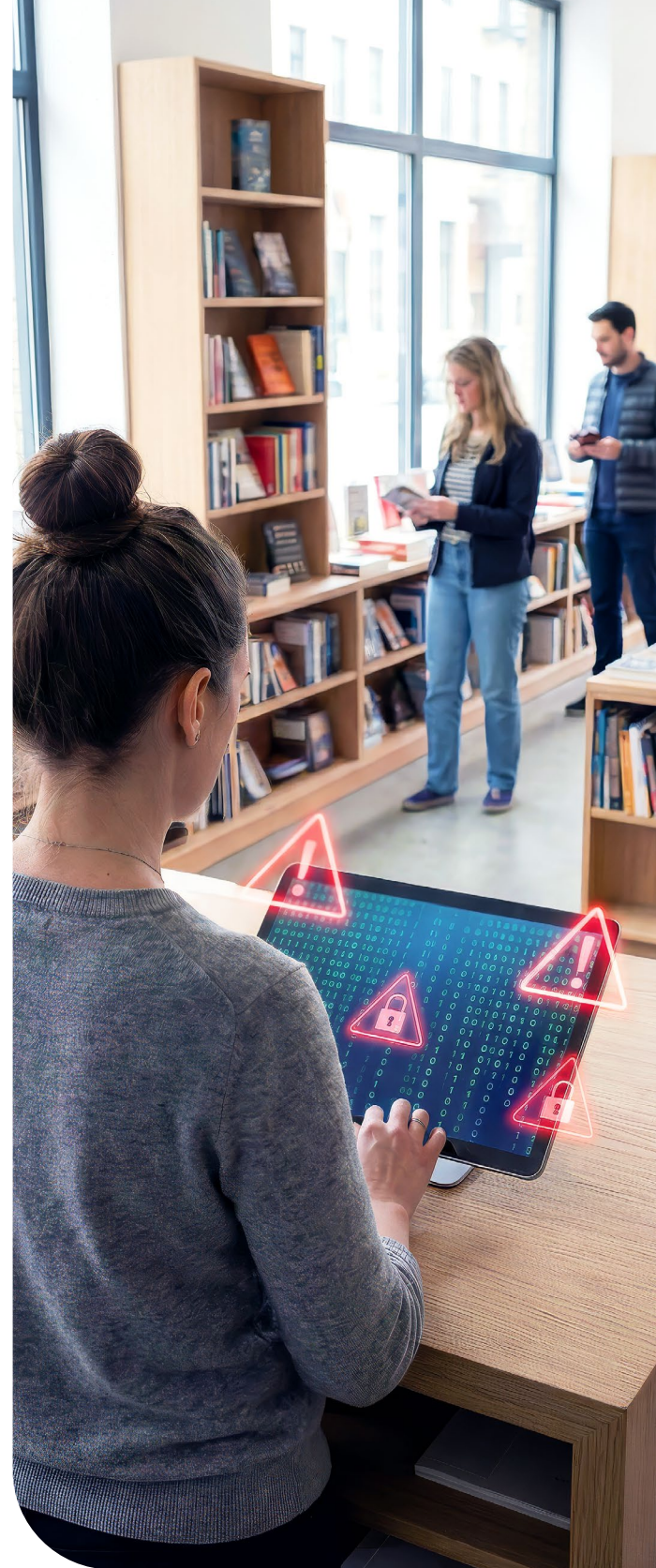
24%

AI toolkits lower the technical skill requirement to near zero for novice criminals.

20%

AI enables attackers to launch so many attacks that staff responsible for security suffer alert fatigue, leading them to ignore or miss critical warnings.

SMBs are already feeling the impact: 46% report facing AI-generated phishing or advanced phishing-as-a-service schemes in the past year. Additionally, 53% say they or their employees have received phishing emails or texts—and despite this prevalence, 31% admit their employees are vulnerable to falling victim.

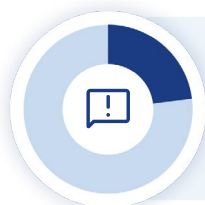


02 Third-Party Risk is Creating a Loss of Control

SMBs depend on third-party vendors for critical business operations, including payments, cloud services, software platforms, and customer engagement tools. With that dependence comes inherited risk.

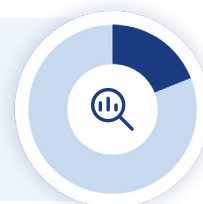
In the past year, 55% of respondents experienced a third-party or vendor outage. Roughly 1 in 5 assume their vendors are secure simply because of a contract or trusted brand name, a dangerous assumption, since neither guarantees lower cyber risk. But even if others recognize the risk, few have implemented meaningful controls.

Third-Party Cybersecurity Controls Remain Limited:



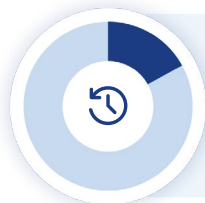
Less than a quarter **23%** have created a joint incident response plan with critical vendors, defining who communicates what if they cause a security incident.

Only **19%** report using initial due diligence to actively reduce the cyber risk posed by their most critical vendors, such as conducting a security assessment or questionnaire before selecting them.



Just **19%** restrict vendor access to only the minimum data required (least privilege).

Only **19%** require their critical vendors to carry cyber liability insurance covering potential breaches.



A mere **17%** continuously monitor their vendors' security posture 24/7.

As a result, SMBs are absorbing enterprise-level dependency risk without enterprise-level oversight, leaving them exposed to incidents they did not cause and cannot control.

03 Payment Security Confidence Masks Real Risk

The attack surface is rapidly evolving for payment security as tokenization, passkeys, and biometrics replace credit card numbers. SMBs are navigating this change with a mix of confidence and complacency.

40% of respondents say the removal of the 16-digit primary account number (PAN) from credit and debit cards will significantly or extremely impact the security of their business transactions. In fact, 42% accept a combination of online/e-commerce and in-person credit card payments, and another 52% accept online/e-commerce payments only. This revenue is at risk without a new cybersecurity strategy to manage the new payments landscape.

Payment Security Is Changing:

The following emerging technologies reduce fraud risks, but also introduce new systems and dependencies, requiring payment security strategies to evolve in tandem.



Tokenization:

Replaces card numbers with non-sensitive tokens to reduce exposure.



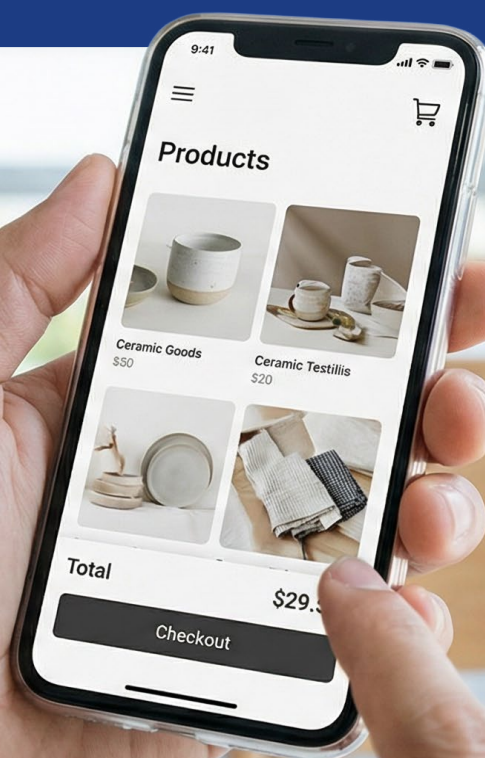
Paskeys:

Use device-based cryptography instead of passwords or card numbers.



Biometrics:

Verify identity using physical traits like fingerprints or facial recognition.



04 Basic Cyber Hygiene Is Still Failing—Not from Ignorance, but Overload

Many SMBs continue to overlook cyber basics while juggling daily priorities.

Top Three Reasons SMBs Could Fall Victim to a Cyberattack:

1

43%

Employees reuse or share passwords across multiple systems.

2

38%

They can't keep up with software patches or updates.

3

34%

Their cybersecurity technology is outdated.

Cybersecurity Vulnerabilities Present within SMBs

32% typically use a pet's name, a series of numbers, or a family member's name so passwords are easy to remember.

22% don't require regular software updates.

22% don't have cybersecurity measures in place for internet-connected (IoT) devices.

21% don't train employees on cybersecurity best practices.

13% don't have a security policy in place for AI tools employees use, like ChatGPT and Gemini.

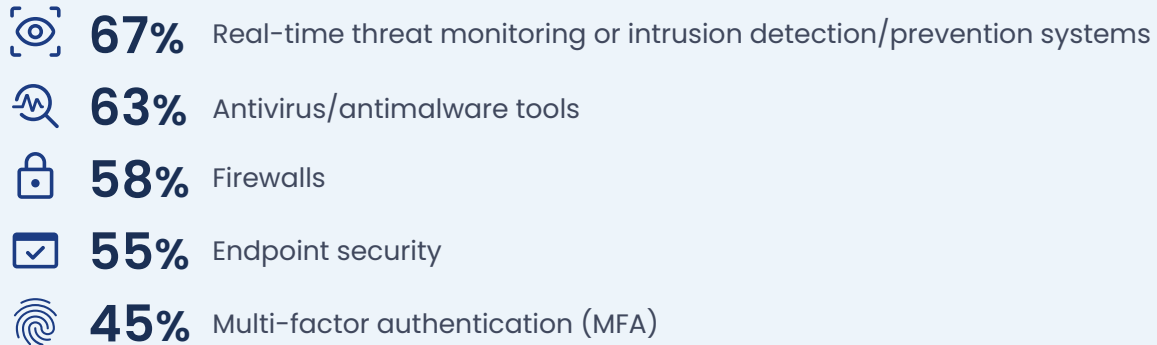


These are not failures of awareness. They are symptoms of limited capacity, competing priorities, and leaders stretched too thin to keep pace with mounting demands. Addressing these challenges requires more than incremental fixes; it demands a rethinking of how security is resourced, prioritized, and supported.

The Investment Gap: Spending Doesn't Equate to Security

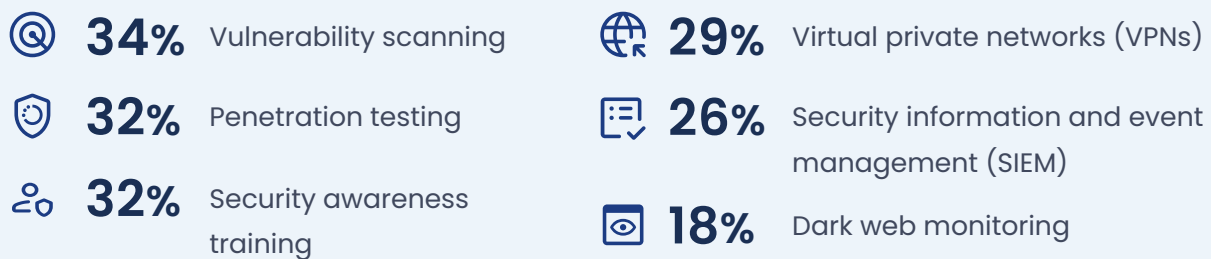
SMB leaders are not standing still as the threat landscape expands. 100% report having some level of cybersecurity technology in place today. However, the reality is that where and how SMBs invest isn't always tied to real protection.

Most investments continue to concentrate on foundational protection. SMBs report deploying:



These controls form an important baseline, but on their own are no longer sufficient to address today's evolving threats.

More advanced capabilities remain far less common, with fewer investing in:



Planned investments for 2026 follow a similar pattern: SMBs intend to continue investing in core protections such as real-time threat monitoring (49%) and antivirus (42%), while also adding vulnerability scanning (40%). However, fewer plan to invest in penetration testing (30%) or dark web monitoring (27%). Intended adoption of tools that directly address identity, access, and human risk, such as password managers (24%), also remains limited.

It's no surprise that cybersecurity investments aren't the only line-item competing for SMBs' attention. In the past 12 months, SMB owners and cyber leaders have reported allocating money to other areas over cyber defenses.

Five Investments Prioritized Over Cyber Defense in the Past 12 Months:



42%

Employee hiring, raises, and/or bonuses.



42%

Subscription to non-essential software (i.e., premium design tools, extensive market research reports, and specialized vanity software).



41%

Employee training on non-security topics – like customer service or sales.



39%

Upgrading the point-of-sale (POS) system or customer-facing technology.



37%

Advertising/marketing campaigns to attract new customers.



These decisions reflect real business pressures SMBs must juggle. They also contribute to security gaps that compound over time.

Closing this gap while balancing competing business priorities will require new approaches that simplify decision-making, extend limited capacity, and better align defenses with where threats are actually emerging.

Closing the Gap: Risk-Directed Security Driven by AI and External Support

What is Risk-Directed Security?

Risk-directed security prioritizes defenses based on real-world risk rather than static controls. It continuously assesses which systems, users, and activities pose the greatest threat—using AI and human expertise to focus time, budget, and response where impact would be highest.

SMBs understand the risks. What’s missing is alignment between the threats they face and the way cybersecurity is resourced, managed, and supported.

Many SMBs plan to turn to AI in 2026 to adapt faster to evolving threats that human-only approaches are increasingly falling short against.

Five Ways SMBs Plan to Use AI for Cybersecurity This Year:

1

39%

AI-driven threat detection

2

34%

AI-assisted incident response

3

34%

AI-driven fraud detection

4

31%

Automated phishing detection

5

27%

Automated patching

These investments signal an important shift toward defenses that can operate at machine speed. But as cybersecurity cements its place as the top business risk, resilience in 2026 will depend on more than layering AI onto existing tools.

To keep pace, SMBs will need to move away from static, reactive security programs toward risk-directed security—an approach that continuously reduces exposure while easing the operational burden on already-stretched teams. For many SMBs, this shift will require combining AI-driven capabilities with external, always-on expertise from managed security services providers (MSSPs) or others that can provide monitoring, prioritization, and response beyond what internal teams can sustain alone.

Risk-Directed Security in 2026

The path to SMB cyber resilience is grounded in three core principles:

01 Stop treating cybersecurity as a solo responsibility

Cyber risk has outpaced the capacity of overextended business owners and cyber leaders. Shared accountability—supported by external expertise and 24/7 coverage from MSSPs—reduces burnout while improving consistency and outcomes.

02 Focus limited time and budget on what matters most

Not every alert carries the same risk. Continuous, asset-level risk scoring helps SMBs prioritize the exposures most damaging to their operations, rather than reacting to noise, ensuring limited budgets are spent effectively.

03 Use AI to keep pace with faster, more adaptive threats

Static rules and manual responses can't keep up with modern attacks. AI helps surface meaningful patterns and attack paths early, enabling faster, more confident human-led responses.

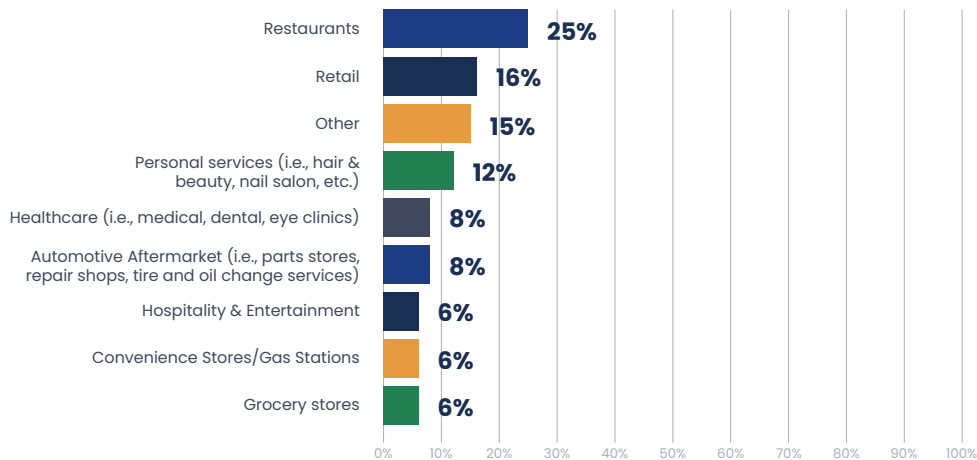
Cybersecurity will continue to shape how SMBs operate, grow, and compete. Those that move beyond fragmented, reactive approaches—aligning strategy, technology, and human support around real-world risk—will be better positioned to remain resilient and keep their **businesses running uninterrupted in the year ahead.**



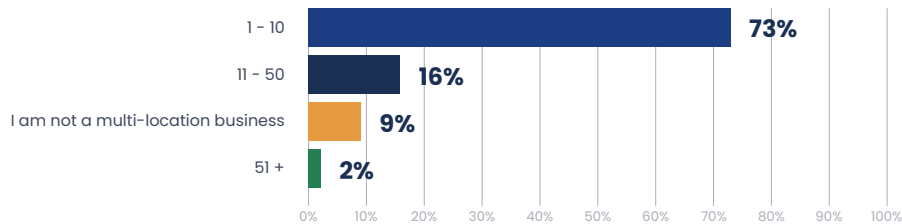
About this Study

These findings are based on a VikingCloud December 2025 online, quantitative survey of 200 small and medium-sized businesses in North America managed by an independent market research agency. Survey respondents included 70 business owners and 130 cyber leaders working for companies in retail, healthcare, hospitality and entertainment, convenience stores/gas stations, grocery stores, the automotive aftermarket, personal services, restaurants, and more. Small businesses were defined as those with up to 100 employees, while medium-sized was defined as those with 101-999 employees.

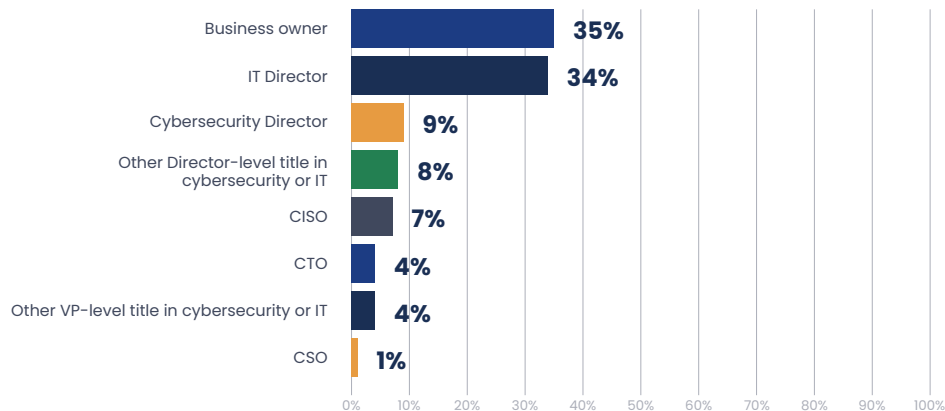
What industry is your business in?



How many different locations do you have?



What is your title?





About VikingCloud

VikingCloud delivers **battle-tested cybersecurity and compliance protection that *simply works*.** Our expert-led approach combines proven technology and AI-driven insights with dedicated support—keeping businesses secure, audit-ready, and uninterrupted.

VikingCloud is trusted by over 4 million businesses in 70+ countries to stop threats before they stop business so they can work on what matters most.

 **Learn More**
vikingcloud.com

 **Sales**
sales@vikingcloud.com or visit vikingcloud.com/contact

FOLLOW US 